DATA-FIT NOTE: FDIC QUARTERLY DATA VS. MY QUESTION

PROVENANCE

The data comes directly from the FDIC's public BankFind Suite API, the primary source behind all FDIC bank data products.

FIT: CAN ANSWER

The question directly: the dataset contains the exact capital ratios regulators use to classify a bank as undercapitalized (the PCA ratios).

FIT: CAN'T ANSWER

Anything that happens faster than a quarter, and anything banks omit or don't report, such as confidential supervisory information or fraud.

THREE LIMITATIONS

1. **Quarterly lag**: snapshots every three months; fast collapses like SVB's 48-hour run happen between filings. The model catches slow slides, not overnight runs.
2. **Rare target**: becoming undercapitalized is uncommon, so classes are severely imbalanced; the evaluation metric must be chosen for rare events.
3. **Self-reported data**: call reports are filed by the banks themselves; a bank concealing problems can look healthy until it isn't.

DECISION **Keep.** Quality data from a reliable source that answers the question as asked.